

Static Terms -Buyer App NP

Transaction Level Contract (TLC) -Static Terms Document

BUSINESS PARTNERSHIP AGREEMENT

This Business Partnership Agreement ("Agreement") is entered into between **Arachnomesh Technologies Private Limited**, a company incorporated under the laws of India and having its principal place of office at PF43, B Wing, Crystal Plaza, Hiranandani, Sector-7, Kharghar, Navi Mumbai - 410210 (hereinafter referred to as "**Buyer App NP**"), and the Seller Network Participant identified in the Protocol Confirmation (hereinafter referred to as "**Seller App**").

WHEREAS:

WHEREAS the Buyer App NP is duly onboarded as a Network Participant on the Open Network for Digital Commerce ("ONDC") as a Buyer-side Network Participant and is engaged in facilitating the discovery and purchase of Products by Buyers through its platform.

WHEREAS the Seller App is desirous of availing of the services of the Buyer App NP for the purpose of listing and selling Products to Buyers through the ONDC Network.

WHEREAS the Parties desire to set out terms and conditions governing their relationship on the ONDC Network.

NOW, THEREFORE, in consideration of the mutual covenants and agreements set forth herein, and for other good and valuable consideration, the Parties agree as follows:

The terms and conditions set forth in this Agreement, together with the ONDC Protocol Confirmation executed between the Parties, shall govern the relationship between the Buyer App NP and the Seller App.

1. DEFINITIONS

1.1 "Business Day" means any working day, excluding Saturdays, Sundays, and public holidays as declared by the Government of India.

1.2 "Confirmation" means the ONDC Protocol Confirmation executed between the Buyer App NP and the Seller App, as referenced in the preamble of this Agreement.

1.3 "Delivery" means the collection of Shipments and their physical delivery to the Buyer at the designated delivery location.

1.4 "Buyer" means the end user who purchases a Product through the Buyer App NP's platform on the ONDC Network.

1.5 "Order" means a purchase made by a Buyer on the ONDC Network, facilitated through the Buyer App NP, Seller App, Gateway, and/or Logistics Service Provider, as applicable.

1.6 "Product(s)" means any product, service, deal, or gift card made available for sale by the Seller App through the ONDC Network.

1.7 "Seller" means any dealer, manufacturer, or merchant registered on the Seller App for the purpose of selling Products through the ONDC Network.

1.8 "Settlement Window" means the specified number of Business Days from the date of collection, Shipment, delivery, or expiry of the Return Window (as applicable), within which settlement shall be made, as specified in the Confirmation.

1.9 "Shipments" means Products that have been consolidated, packaged, and handed over to the logistics provider for onward delivery to the Buyer.

1.10 "ETA" means the Estimated Time of Arrival communicated by the Seller App to the Buyer App NP in accordance with configurable TLC terms, representing the committed delivery date.

1.11 "Order Timeline" means the total expected duration from the date and time of Order creation to the expected delivery date (i.e., Expected Delivery Date minus Order Created Date).

1.12 "Acceptance TAT" means the maximum permissible time within which the Seller must move an Order from the "Created" state to the "Accepted" state, being 1 (one) Business Day or 20% of the Order Timeline, whichever is lower.

1.13 "Shipment TAT" means the maximum permissible time within which the Seller must move an Order from the "Accepted" state to the "In Progress" (shipped) state, being 2 (two) Business Days or 20% of the Order Timeline, whichever is lower.

1.14 "Delivery TAT" means the maximum permissible time within which the Seller must complete delivery, moving an Order from the "In Progress" state to the "Delivered" state, being 3 (three) Business Days or 60% of the Order Timeline, whichever is lower.

1.15 "RTO" means Return to Origin, being the process of returning goods to the original pickup address when an Order could not be delivered to the Buyer.

1.16 "Quality Issues" means any of the following deficiencies in a Product delivered to a Buyer: quantity mismatch, expired product, damaged product, defective product, spoiled product, inadequate packaging, wrong items, or missing items.

1.17 "Buyer Cancellation" means a cancellation of an Order initiated by the Buyer or by the Buyer App NP on behalf of the Buyer, including a refusal by the Buyer to accept delivery of a Shipment.

1.18 "Buyer Finder Fee" or "BFF" means the commission payable by the Seller App to the Buyer App NP for facilitating the transaction between the Buyer and the Seller on the ONDC Network.

1.19 "False Delivery" means the act of marking an Order as delivered in the ONDC system without actual physical delivery of the Order to the Buyer having taken place, whether such act is accidental or intentional.

1.20 "Return Pickup TAT" means the maximum permissible time within which seller must pick up the return requested order items being 3 (three) business days from the from return acceptance.

1.21 "On-Confirm Failure" means : where payment has been captured but a valid on_confirm is not received within the ONDC Protocol-prescribed timeout

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2. CANCELLATION -PRE-SHIPMENT

The following cases and resolutions shall apply to Orders cancelled prior to Shipment:

Case	Case Description	Resolution
Case 1 -Acceptance/Ship ment TAT Breach	Buyer requests cancellation where the Order has not been moved to "Accepted" within the Acceptance TAT, or has not been shipped within the Shipment TAT	Buyer App NP will not be liable to pay any amount to the Seller App on cancellation of such Orders.
Case 2 -No TAT Breach	Buyer requests cancellation where there is no TAT breach and the Order has not yet been shipped	Buyer App NP will not be liable to pay any amount to the Seller App on cancellation of such Orders.
Case 3: On-Confirm Failure	Orders where payment has been captured but a valid on_confirm is not received within the ONDC Protocol-prescribed timeout.	The order is deemed cancelled immediately, the buyer is refunded in full, and no settlement is payable to the Seller App
Case 4: Partial Cancellation	For multi-item orders where some line items are cancellable and others are not	the Buyer App NP may cancel and refund only the affected line item(s), with Seller App settlement adjusted on a line-item basis

3. CANCELLATION -POST-SHIPMENT

Note: The Buyer or Buyer App NP may initiate a post-shipment cancellation via:

(i) non-receipt or non-acceptance by the Buyer on attempted delivery; or

(ii) an IGM issue raised for refund on grounds of delay or any other valid head.

Post-Shipment cancellation requests submitted over the Cancel API or any API other than IGM shall not be valid if nack'd or rejected by the Seller App.

The following cases and resolutions shall apply to Orders cancelled after Shipment:

Case	Case Description	Resolution
Case 1 -ETA/Delivery TAT Breach	Order has been shipped but not delivered within the Delivery TAT (3 Business Days or 60% of Order Timeline, whichever is lower)	Buyer App NP will not be liable to pay any amount to the Seller App on cancellation of such Orders.
Case 2 -No ETA Breach	Order has been shipped and delivery is within the committed ETA, but the Buyer requests cancellation	Buyer App NP will not be liable to pay any amount to the Seller App for cancellation of such Orders -as the Product is returnable. The Seller App is expected to accept the cancellation and not proceed further with the Order.

4. REFUND / RETURN / REPLACEMENT -POST-DELIVERY

The following cases and resolutions shall apply to issues raised after delivery:

Case	Case Description	Resolution
Case 1 -False Delivery (Incorrectly marked as delivered)	An Order has been marked as delivered in the system even though the Buyer has not received it	Joint investigation by Buyer App NP and Seller App to identify the source of the discrepancy. If the fault is determined to lie with the Buyer App NP, the Buyer App NP shall pay the full Order value to the Seller App. If the fault is determined to lie with the Seller App, the Buyer App NP will not pay any amount to the Seller App; additionally, a penalty of INR 250 or 1% of the product value (whichever is higher) shall apply per incident, and BFF will be charged to the Seller App. Repeated or intentional False Delivery may result in immediate blacklisting of the Seller App.
Case 2 -Quality Issue	Buyer raises an issue regarding the quality of the Product delivered	Any quality related issues will have to be directly dealt by Seller App.

Notes:

1. Where the Buyer App NP elects to provide a resolution to the Buyer that differs from the resolution proposed by the Seller App, the Seller App's settlement shall reflect only the resolution approved by the Buyer App NP. The Buyer App NP shall not be obligated to pay the Seller App any amount beyond what is consistent with the resolution actually provided to the Buyer. The Seller App shall be required to furnish such proof, documentation, or evidence as may be requested by the Buyer App NP to substantiate its proposed resolution; - If the Seller App cannot produce Proof of Delivery within 24 hours of a False Delivery claim, the claim is presumed in the Buyer's favour by default.
2. Where a resolution of refund is to be provided to the Buyer, the Seller App may process such refund with or without arranging pickup of the Product. In cases where a refund is to be issued with pickup, the Seller App may confirm the refund after verifying the return.
3. Notwithstanding the above, if an Order has been accepted by the Seller or the Order is in a "Created" state for more than 1 (one) Business Day (or 20% of the Order Timeline, whichever is lower) from the date of the Order and the Order has not been shipped by the Seller, the Buyer App NP holds the right to mark the Order as cancelled and refund the amount to the Buyer without further seeking confirmation from the Seller.
4. If pickup isn't completed within Return Pickup TAT despite escalation, the Buyer App NP may refund the buyer directly, without seller sign-off, and recover value at settlement
5. If the seller does not respond to a return request within 24 hours (after standard escalation to the Grievance Officer per Cl. 8.17.4), refund is issued to the buyer with no settlement made to the SNP

5. ISSUE RESOLUTION RESPONSE TAT

The Seller App shall adhere to the timelines specified below for the respective Issue Sub-Category listed in the IGM (Issue and Grievance Management) framework. If the Seller App requires additional information for closure of an issue, the time to closure shall be calculated from the time of the Buyer App NP's response to the Seller App's request for such information.

Applicable for all categories except for F&B.

Category	Sub-Category	ENUM	Expected Time to Resolve / Complete (ETC)
ORDER	Order not received	ORD01	30 minutes first response; 24 hours resolution
ORDER	Quality issue	ORD02	30 minutes first response; 24 hours resolution
ORDER	Delayed delivery	ORD03	30 minutes first response; 24 hours resolution

Category	Sub-Category	ENUM	Expected Time to Resolve / Complete (ETC)
ITEM	Missing items	ITM01	30 minutes first response; 24 hours resolution
ITEM	Quantity issue	ITM02	30 minutes first response; 24 hours resolution
ITEM	Item mismatch	ITM03	30 minutes first response; 24 hours resolution
ITEM	Quality issue	ITM04	30 minutes first response; 24 hours resolution
ITEM	Expired item	ITM05	30 minutes first response; 24 hours resolution
FULFILLMENT	Wrong delivery address	FLM01	30 minutes first response; 24–48 hours resolution
FULFILLMENT	Delay in delivery	FLM02	30 minutes first response; 24 hours resolution
FULFILLMENT	Delayed delivery	FLM03	30 minutes first response; 24 hours resolution
FULFILLMENT	Packaging	FLM04	30 minutes first response; 24 hours resolution
FULFILLMENT	Buyer not found	FLM05	30 minutes first response; 24–48 hours resolution
FULFILLMENT	Seller not found	FLM06	30 minutes first response; 24–48 hours resolution
FULFILLMENT	Package info mismatch	FLM07	30 minutes first response; 24–48 hours resolution
FULFILLMENT	Incorrectly marked as delivered	FLM08	30 minutes first response; 24 hours resolution

Notes:

1. If the Seller App does not adhere to these timelines, the Buyer App NP shall be entitled to take such actions as it deems necessary, including resolving the issue in favour of the Buyer and deducting the settlement amount from the payout to the Seller App for such Order.
2. The Buyer App NP may specify visibility criteria for Seller Apps related to Buyer issues on the Declaration page under "Why may a merchant not be visible on Buyer App?"

6. TERM AND TERMINATION

6.1 This Agreement shall become effective upon the Seller App's acceptance of the terms and conditions set out herein, as confirmed through the Confirmation.

6.2 This Agreement shall continue in full force and effect unless terminated in accordance with the provisions of this Section 6. Either Party may terminate this Agreement in the event of a material breach by the other Party of its obligations, representations, warranties, or any other material terms of this Agreement. Termination of this Agreement shall not affect any rights or obligations that have accrued prior to the date of termination.

6.3 In the event of a material breach of this Agreement by either Party that remains uncured for a period of 30 (thirty) days following written notification of such breach by the non-breaching Party, the non-breaching Party shall be entitled to terminate this Agreement forthwith by written notice.

6.4 Either Party may terminate this Agreement immediately by written notice to the other Party if the other Party:

- (i) is adjudged bankrupt or does a general assignment for the benefit of its creditors.
- (ii) has a receiver appointed over its assets or business, which appointment is not discharged within 60 (sixty) days; or
- (iii) commences proceedings under any applicable insolvency or bankruptcy legislation.

6.5 Either Party may terminate this Agreement without cause by providing 1 (one) month's prior written notice to the other Party.

6.6 Consequences of Expiry, Termination, or Suspension:

- **6.6.1** Upon expiry, termination, or suspension of this Agreement, the Buyer App NP shall be entitled to remove and de-list all Products displayed on the Buyer App NP's platform that are attributable to the Seller App.
- **6.6.2** Notwithstanding expiry or termination, all pending Orders received prior to the effective date of termination, and all return and refund obligations arising from such Orders, shall be honoured and completed in full. The Seller App agrees to cooperate with the Buyer App NP to give effect to this clause.
- **6.6.3** Upon termination, the Seller App shall promptly pay all outstanding amounts due to the Buyer App NP or its Affiliates under this Agreement.
- **6.6.4** Termination or expiry of this Agreement shall not affect any accrued rights or liabilities of either Party, nor shall it affect those clauses of this Agreement that are expressly intended to remain in force following termination.

7. GENERAL OBLIGATIONS

7.1 All payments under this Agreement shall be subject to deduction and withholding as required by applicable law and as specified in the Confirmations.

7.2 Collection of payment from the Buyer shall be as mutually agreed in the Confirmation. The terms for collection amount, settlement amount, withholding amount, Settlement Window, and settlement type shall be as set out in the applicable Confirmations.

7.3 Each Party shall use its own infrastructure, manpower, personnel, and facilities for the performance of its obligations under this Agreement and shall bear its own costs and expenses in connection therewith.

7.4 The Buyer App NP shall not make any warranties or guarantees concerning the Seller, the Seller App, or the Seller's goods or services other than those expressly provided by the Seller or the Seller App in writing.

7.5 Except as otherwise provided under the Indemnity clause of this Agreement, each Party shall bear its own legal costs in connection with the execution of this Agreement.

7.6 The Buyer App NP shall have no control over the identity of the Buyer or the mode of payment used by the Buyer, and therefore does not guarantee the accuracy or authenticity of any payment information provided.

8. SELLER'S OBLIGATIONS

The Seller APP must make sure that their respective sellers have to adhere to following obligations

8.1 The Seller shall ensure that Products are dispatched on time, conform to the ordered specifications without variation, and shall update the status of dispatch and delivery to the Buyer App NP in a timely manner.

8.2 The Seller shall generate, print, and issue a valid invoice to Buyers for each Product purchased, along with all applicable warranty terms and conditions.

8.3 During the Term, the Seller shall be solely responsible for the fulfilment of Products ordered by Buyers through the Buyer App NP's platform, including sourcing, pick-up, packing, return, and dispatch.

8.4 The Seller shall be responsible -directly or through its Suppliers -for all warranty and after-sales services of the Products, including standard product warranty and maintenance services, and shall keep the Buyer App NP fully indemnified in this regard.

8.5 The Seller agrees to replace any defective, damaged, or unusable Products supplied to the Buyer at its own cost, within a mutually agreed turn-around time, and shall not hold the Buyer App NP responsible in any manner for such replacements.

8.6 The Seller agrees to fully co-operate with the Buyer App NP as reasonably required in connection with any Buyer-service functions undertaken by the Buyer App NP.

8.7 Notwithstanding anything to the contrary contained in this Agreement, all liabilities arising from any defect, fault, delivery of wrong Product, failure to meet specifications, or any other shortcoming in the Product(s) shall be the sole responsibility of the Seller or its Supplier. This provision shall survive the termination of this Agreement.

8.8 The Seller agrees to seek advance written approval from the Buyer App NP prior to releasing any promotion, advertisement, or marketing material insofar as the same relates to Services offered under this Agreement. No promotional content referencing the Buyer App NP's platform or services shall be published without such prior written consent.

8.9 The Seller is not permitted to advertise or use the brand name, trademarks, logos, or trade names of the Buyer App NP, or any variations or misspellings thereof, whether separately or in combination with other keywords or trade names, without the express prior written consent of the Buyer App NP.

8.10 The Seller shall comply, and shall ensure that its logistics partners comply, with the Code of Conduct set out in this Agreement at all times.

8.11 The Seller shall ensure that personnel appointed by the Seller and/or its logistics partners for the delivery of Shipments shall under no circumstances:

- (i) Contact the Buyer beyond reasonable hours of the day (09:30 to 20:00);
- (ii) Contact the Buyer beyond what is necessary for the provision of delivery services;
- (iii) Behave discourteously or inappropriately with the Buyer during or in connection with delivery;
- (iv) Enter the Buyer's residence or premises against the Buyer's wishes;
- (v) Visit in large or intimidating numbers;
- (vi) Misuse or share any Buyer information provided by the Seller or obtained during the course of delivery;
- (vii) Harass the Buyer through any online or offline medium;
- (viii) Be involved in loss, theft, or misappropriation of goods or cash;
- (ix) Provide incorrect updates on Shipment or pick-up status;

- (x) Be rude, threatening, or abusive with the Buyer;
- (xi) Violate the delivery terms or agreed protocols; or
- (xii) Accept or solicit any unwarranted allowances such as tips from the Buyer.

8.12 The Buyer App NP maintains zero tolerance for bribery, corruption, or unethical business practices. Neither Party shall participate in, facilitate, or permit any form of corruption, bribery, kickback, extortion, embezzlement, or money laundering in relation to the obligations under this Agreement.

8.13 The Seller shall keep accurate and complete books, records, and accounts related to all Orders on the Buyer App NP's platform. The Seller shall allow the Buyer App NP or its duly authorised representative the right to conduct full and independent audits and investigations of all information, books, records, and accounts reasonably required during regular business hours, upon not less than 5 (five) Business Days' prior written notice, during the Term of this Agreement and for a period of 2 (two) years following its termination or expiration.

8.14 The Seller shall provide to the Buyer App NP, its Affiliates, and internal and external auditors access to the Seller's records and transactions relating to obligations and terms of this Agreement for any verification required pursuant to regulatory requirements, within the timeline communicated via email or such other notification by the Buyer App NP.

8.15 The Seller shall be solely responsible for creating and maintaining an updated catalogue for the Products -including pricing, inventory (including applicable discounts and promotions), and information about product discontinuation -for publishing on the Buyer App NP's platform, and shall ensure that such catalogue is accurate and complete at all times.

8.16 The Seller shall provide all information about the Products necessary for enabling Buyers to make informed decisions at the pre-purchase stage, as may be requested by the Buyer App NP for the listing of Products on its platform. The Buyer App NP does not warrant that all Products shall be made available for listing. Notwithstanding the foregoing, the Buyer App NP reserves the right to refuse to display, or to withdraw from the platform, any Product of the Seller, with intimation to the Seller within 24 Business Hours prior to delisting the Seller or the Product, on a reasonable effort basis.

8.17 The Seller shall be responsible for the accuracy and completeness of the following information published on the Buyer App NP's platform, in accordance with applicable laws:

- **8.17.1** A description of each Product, including technical description, brand name, price, applicable warranty terms, country of origin, and manufacturer or importer details;
- **8.17.2** Terms and conditions for Returns, refund, and cancellation policy, including delivery turnaround time and shipping or return costs;

- **8.17.3** Information on the status of Orders placed by Buyers;
- **8.17.4** Buyer helpdesk and Grievance Officer contact details for inquiries about Orders, complaints, and grievances;
- **8.17.5** Principal geographic address, branch details, website details, email address, and any other information necessary for communication and effective dispute resolution;
- **8.17.6** Any other information or disclosure required for the sale of Products under applicable laws;
- **8.17.7** Compliance with all terms and conditions as per the E-Commerce Rules 2020 and all other applicable laws; and
- **8.17.8** The Seller shall not practise price manipulation or price discrimination between Buyers of the same class, or make any arbitrary classification of Buyers that affects their right to avail Products and Services through the Buyer App NP's platform.

8.18 The Seller hereby confirms that no information provided regarding the Products is unfair, illegal, or misrepresenting with respect to the quality, authenticity, brand name, model, usage, or manufacturing date of the Products.

8.19 The sale of Products through the platform is a bipartite transaction between the Seller and the Buyer; the Buyer App NP acts merely as a facilitator. Title, ownership, and all risk relating to the Products shall be deemed to pass directly from the Seller (or Manufacturer) to the Buyer upon delivery. Payment for the Products shall be made to the Seller through the Buyer App NP's platform via the applicable payment facility.

8.20 The Seller shall have sole responsibility for the quality, fitness for purpose, merchantability, and suitability of the Products. The Buyer App NP shall not be liable for any defects in the Products under any circumstances.

8.21 The Seller App hereby agrees to pay a Buyer Finder Fee (BFF) at 3% to 5% (please refer below table) plus applicable GST for any sale completed with a Buyer through the platform, unless otherwise regulated by ONDC.

Table 1: BFF Rates		
Domain	Category	BFF
ONDC:RET10	Grocery	3%
ONDC:RET11	F&B	5%
ONDC:RET12	Fashion	5%
ONDC:RET13	Beauty & personal care	5%
ONDC:RET14	Electronics	5%
ONDC:RET15	Appliances	5%
ONDC:RET16	Home & kitchen	5%
ONDC:RET18	Health & wellness	5%

The specific commission rate shall be as set out in the applicable Confirmation or commercial terms agreed between the Parties.

8.22 The Seller App shall ensure compliance with the stage-wise TATs defined in this Agreement:

- (a) **Acceptance TAT** -the respective Seller must move each Order from "Created" to "Accepted" within 1 (one) Business Day or 20% of the Order Timeline, whichever is lower;
- (b) **Shipment TAT** -the Seller must move each Order from "Accepted" to "In Progress" (shipped) within 2 (two) Business Days or 20% of the Order Timeline, whichever is lower; and
- (c) **Delivery TAT** -the Seller must complete delivery and move each Order from "In Progress" to "Delivered" within 3 (three) Business Days or 60% of the Order Timeline, whichever is lower.

A breach of any stage-wise TAT shall entitle the Buyer App NP to cancel the affected Order and process a refund to the Buyer, with no payment liability to the Seller App for such Order.

Seller App must share a deep-linked, no-login delivery tracking URL (not a redirect to the seller/logistics homepage) at the time the order moves to "In Progress," reflecting live shipment status. A missing or broken tracking link beyond a defined window of two hours constitutes a TAT breach and feeds into Section 13 penalties.

8.23 The Seller shall not mark any Order as delivered without actual, verified physical delivery of the Order to the Buyer. False Delivery -whether accidental or intentional -shall attract the following consequences per incident:

- (a) No settlement for the affected Order; and
- (b) The Buyer App NP reserves the right to immediately suspend or permanently blacklist the Seller App from the platform at its sole discretion, depending on the severity and frequency of such incidents.

9. SELLER'S UNDERTAKING

The Seller-app shall ensure the following undertakings by the respective sellers.

9.1 The Seller represents and warrants that it holds all necessary intellectual property rights, approvals, and consents from relevant third parties to perform its obligations under this Agreement, and to advertise, supply, and sell the Products on the Buyer App NP's platform.

9.2 The Seller represents that it has procured all registrations, permits, licences, and authorisations required under applicable laws for the sale of the Products, and shall provide satisfactory proof thereof to the Buyer App NP upon demand.

9.3 The Seller shall be solely responsible for the payment of all applicable taxes arising from its sale of Products. The Buyer App NP shall not be liable for the Seller's non-compliance with any tax obligation. The Seller shall keep the Buyer App NP fully indemnified and harmless against any claims, penalties, or demands arising from the Seller's tax non-compliance. This obligation shall survive the termination of this Agreement.

9.4 The Products are manufactured by the Seller or sourced from third-party suppliers ("Suppliers"). The Seller remains fully responsible to the Buyer App NP regardless of the involvement of any Supplier.

9.5 The Seller represents that it has valid, clear, and marketable title to all Products listed on the platform, and that the listing price for each Product is accurate, current, complete, and not misleading.

9.6 The Seller represents and warrants that all Products are genuine, merchantable, of the quality described, new (unless otherwise disclosed), and not counterfeit.

9.7 The Seller represents that it has valid rights and entitlement to use all trademarks, copyrights, and designs associated with the Products for the purpose of display and sale on the platform.

9.8 The Seller agrees that none of the Products or related materials listed on the platform shall:

- (a) Be harmful, defamatory, obscene, or otherwise unlawful;
- (b) Be harmful to minors in any manner;
- (c) Infringe any third-party intellectual property rights;
- (d) Violate any applicable law or regulation;
- (e) Deceive or mislead Buyers;
- (f) Be offensive or in violation of community standards;
- (g) Impersonate any person or entity;
- (h) Contain malware, viruses, or other harmful code; or
- (i) Threaten national security or public order.

The Buyer App NP shall have the right to take down any such Products and to suspend the Seller App's access to the platform in the event of a violation of this clause.

9.9 The Seller shall maintain all title and ownership or licence rights in the intellectual property associated with the Products in accordance with this Agreement and the ONDC Network Policy.

9.10 The Seller is solely responsible for all listing information displayed on the Buyer App NP's platform. The Buyer App NP is not responsible or liable for such information. The Seller shall keep the Buyer App NP fully indemnified and harmless against any claims arising

from such listing information. This obligation shall survive the termination of this Agreement.

10. REPRESENTATIONS AND WARRANTIES

Each Party represents and warrants to the other that, as of the date of this Agreement and throughout its Term:

10.1 It is duly organised and validly existing under the laws of India, and has full authority and capacity to enter into and perform its obligations under this Agreement.

10.2 It has read, understood, and agreed to the terms of this Agreement, which together with the Confirmation constitutes a valid and binding contract upon acceptance.

10.3 It has and shall maintain all statutory and regulatory permissions, licences, and approvals required for the performance of its obligations under this Agreement.

10.4 It has and shall maintain all intellectual property title, ownership, and licence rights required in connection with this Agreement and in accordance with the ONDC Network Policy.

10.5 All information submitted in connection with this Agreement is truthful, lawful, and accurate as of the date of this Agreement.

10.6 It has complied and shall continue to comply with all applicable laws in the performance of its obligations under this Agreement.

10.7 The fulfilment and compliance with the terms of this Agreement will not conflict with any other agreement, law, or regulation to which it is a party or by which it is bound, and does not require the consent of any third party.

10.8 It shall not make any statements to defame or disparage the reputation or goodwill of the other Party, except to the extent required by applicable law or legal process.

10.9 It shall comply with the ONDC Network Participant Agreement and the ONDC Network Policy as applicable to it.

10.10 All services performed under this Agreement shall be rendered in a professional and workmanlike manner, consistent with applicable industry standards.

11. INDEPENDENT PARTIES

11.1 Each Party is an independent entity and shall not be construed as an agent, representative, or employee of the other Party. Neither Party is the legal representative of the other for any purpose whatsoever.

11.2 Nothing in this Agreement shall be construed as creating an association, partnership, joint venture, or an employer-employee relationship between the Parties.

11.3 Neither Party's employees, staff, or agents shall have any authority to legally bind the other Party in any manner.

11.4 Each Party shall be solely liable for the acts of its own staff, employees, or End Users that cause damage or loss to the other Party.

12. INDEMNITY AND LIMITATION OF LIABILITY

12.1 Each Party (the "Indemnifying Party") agrees to indemnify, defend, and hold harmless the other Party and its Affiliates from and against any and all claims, losses, liabilities, damages, and costs (including reasonable legal costs) arising from or in connection with: (a) any wrongful or negligent act or omission of the Indemnifying Party; (b) any breach of the Indemnifying Party's obligations, representations, or warranties under this Agreement; (c) any breach of applicable law by the Indemnifying Party; (d) any data breach or data corruption attributable to the Indemnifying Party; (e) any third-party claims arising from the Indemnifying Party's conduct; or (f) any unauthorised disclosure of the other Party's Confidential Information.

12.2 The Seller App acknowledges that the Buyer App NP does not exercise control over the quality, safety, or availability of Products. The Seller agrees to indemnify and hold harmless the Buyer App NP from and against any and all claims, damages, and liabilities arising from any defect in, or issue with, the Products.

12.3 The Seller App shall indemnify and hold harmless the Buyer App NP against any claims arising from the acts or omissions of delivery partners, logistics providers, or any other third parties engaged by the Seller in connection with the performance of its obligations under this Agreement.

12.4 Each Party shall be liable for losses or damages attributable to its own acts or omissions, or those of its agents, to the extent of the product value or as otherwise determined in the

Confirmation. Each Party shall be solely responsible for technical errors occurring on its own platform.

12.5 Each Party shall be independently liable for the services it offers to End Users, Buyers, and other Network Participants on the ONDC Network.

12.6 Neither Party shall be liable to the other for any indirect, incidental, special, or consequential loss or damage. Liability shall be capped at the value of the specific Order or actual claim amount. The foregoing exclusions and caps shall not apply in cases of wilful default, fraud, infringement of intellectual property rights, breach of Confidentiality obligations, breach of Data Protection obligations, or as otherwise required by applicable laws.

13. PENALTY

13.1 Where the Buyer App NP observes an increase in Buyer complaint trends or non-adherence to any terms of this Agreement by the Seller App, resulting in the occurrence of the following instances and the cancellation rate reaching above 20% in a month, the Buyer App NP reserves the right to impose a penalty of **INR 250 or 1% of the value of the Product, whichever is lower**, per instance/per Order, payable to the Buyer App NP or deducted from future settlements for the sale of specified Products:

- (i) Inability to fulfil Orders due to inadequacy of stocks or otherwise within agreed timelines; or
- (ii) Returns due to bad or defective Products; or
- (iii) Returns due to delivery of Products not in accordance with the Buyer's Order; or
- (iv) Deficiency of services by the Seller; or
- (v) Negligence or recklessness by the Seller while servicing a Buyer; or
- (vi) Harm to the Buyer arising from breach of duty and standard of care by the Seller.

13.2 If instances of non-adherence constitute more than **10% of the total Orders** for a Seller on a **3 (three) month rolling basis**, the Buyer App NP has the right to suspend or delist the Seller in addition to the penalties prescribed above.

13.3 In addition to the above, the following performance-based thresholds shall apply across all product categories, measured monthly as a percentage of total Orders:

- **(a) Delayed Delivery (TAT breach at any stage):**

- 1st month: Alert issued if delayed delivery rate exceeds 5% of total Orders.
- 2nd month: Alert issued if rate exceeds 5%; Seller Blocked if rate exceeds 10%.
- 3rd month: Seller Blocked if rate exceeds 5% post 2 continuous alerts had been issued..
- Penalty: INR 250 or 1% of product value (whichever is higher) per confirmed TAT breach after alert stage;
- **(b) Packaging Issues:**
 - Alert issued if packaging complaint tickets exceed 10% of total Orders.
 - Seller Blacklisted if rate exceeds 5% in any 2 (two) of the 3 (three) months following the alert.
- **(c) False / Incorrectly Marked as Delivered:**
 - Alert issued if False Delivery rate exceeds 2% of total Orders.
 - Seller Blacklisted if this occurs in any 2 (two) of the 3 (three) months following the alert. The Buyer App NP reserves the right to immediately blacklist the Seller for egregious or intentional violations.
- **(d) Item-Related Issues (damaged, missing, or wrong items):**
 - Alert issued if item-related complaint tickets exceed 5% of total Orders.
 - Seller Blacklisted if rate exceeds 5% in any 2 (two) of the 3 (three) months following the alert.
- **(e) Excessive Seller-Initiated Cancellations:**
 - Alert issued if Seller-initiated cancellation rate exceeds 5% of total Orders.
 - Seller Blocked if rate exceeds 10% in the same or following month.
 - Penalty:
- **(f) Issue Resolution TAT Breach:**
 - Alert issued if TAT adherence rate falls below 95%.
 - If the Seller App fails to respond within the defined Resolution Time for "Order not received" tickets, the Buyer App NP shall resolve the issue in favour of the Buyer with a full refund, the cost of which shall be deducted from Seller App payouts.
- **(g) Return Pickup TAT breach,**
 - Alert issued if TAT adherence rate falls below 98%.
 - Seller Blocked if adherence rate falls continuously below 95% for two months
- **(h) Order Status Mismatch and On-Confirm Failure rate**
 - Alert issued if TAT adherence rate falls below 98%.
 - Seller Blocked if adherence rate falls continuously below 96% for two months

13.4 The following Key Performance Indicators ("KPIs") serve as performance benchmarks for all Seller Apps. Persistent failure to meet these targets shall contribute to the consequence management actions defined in this Section 13:

KPI	Benchmark
Order acceptance rate	> 95%
Acceptance TAT adherence	> 95%
Shipment TAT adherence	> 90%
ETA adherence	> 85%
Successful delivery rate	> 95%
On-time delivery rate	> 85%
Issue resolution TAT adherence	> 95%
First resolution rate	> 80%

14. DATA PROTECTION

14.1 The Parties may share Personal Data of the Buyer with each other to the extent necessary for the fulfilment of an Order (the "Specified Purpose"). Personal Data shall not be used by either Party for any purpose other than the Specified Purpose.

14.2 Each Party shall comply with all Data Protection Legislation applicable to its processing of Personal Data in connection with this Agreement.

14.3 For the purposes of this Agreement, "Data Protection Legislation" means all legislation and regulation relating to the protection of Personal Data applicable to either Party, including:

- **14.3.1** The Information Technology Act, 2000 (as amended), and all rules, regulations, and guidelines issued thereunder, including the Digital Personal Data Protection Act, 2023;
- **14.3.2** All guidelines, codes of conduct, or standards of practice relating to the protection of Personal Data issued by any competent authority;
- **14.3.3** Any other applicable law relating to the processing, protection, or transfer of Personal Data; and
- **14.3.4** "Personal Data" shall have the meaning ascribed to it under the Information Technology Act, 2000, or the Digital Personal Data Protection Act, 2023, whichever is in effect and applicable at the relevant time.

14.4 Each Party shall only process Personal Data to the extent necessary for the Specified Purpose and in accordance with applicable law. Each Party shall have the right to take such steps as are reasonably necessary to fulfil its obligations under this Agreement in relation to the processing of Personal Data.

14.5 Neither Party shall process or transfer Personal Data to any third party unless such processing or transfer is strictly necessary for the performance of its obligations under this Agreement, and only in accordance with applicable Data Protection Legislation.

14.6 Each Party shall maintain appropriate technical and organisational measures to:

- **14.6.1** Prevent unauthorised or unlawful processing of Personal Data;
- **14.6.2** Protect Personal Data against accidental loss, destruction, or damage;
- **14.6.3** Ensure the reliability of personnel who have access to Personal Data;
- **14.6.4** Implement security measures proportionate to the risk of harm and the nature of the Personal Data being processed; and
- **14.6.5** Provide full co-operation to the other Party for the purpose of responding to data subject requests under applicable Data Protection Legislation.

This document constitutes the Static Terms of the Buyer App NP for use as part of the ONDC Transaction Level Contract (TLC). These terms apply uniformly to all Seller Apps transacting through the Buyer App NP's platform on the ONDC Network. These terms are subject to revision; the latest version shall be hosted at the URL specified in the Protocol Confirmation.

Arachnomesh Technologies Private Limited

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